

25STCV38279 25STCV38279

County: los-angeles

Division: Civil Law and Motion

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Case Number: 25STCV38279 Hearing Date: August 5, 2026 Dept: 732

Tze On Fung v. AII Group 13 Lender, LP, et al.

Wednesday, August 5, 2026

CASE NUMBER: 25STCV38279

OPPOSED

Plaintiff Tze On

Fung's Motion for Leave to File Second Amended Complaint

Facts: This is an action for fraud and breach of fiduciary duty. The First Amended Complaint ("FAC") alleges as follows. Plaintiff Tze On Fung ("Plaintiff") invested \$500,000 with Defendants, plus a \$50,000 administrative fee, based on the assurance of Defendants AII Group 13 Lender and AII Group 13 Manager, LLC's ("Defendants") promise that his \$500,000 would be returned within seven years, and on the promise of obtaining a United States EB5 visa. (FAC ¶¶ 19–20.) Defendants have not returned the money as promised. (FAC ¶¶ 20–24.)

Procedural History:

Plaintiff filed the Complaint on

December 30, 2025, alleging nine causes of action:

1. Breach of Contract
2. Breach of Fiduciary Duty
3. Fraud – Intentional Misrepresentation
4. Fraudulent Concealment
5. Promise without Intent to Perform
6. Accounting
7. Negligence
8. Declaratory Relief

Plaintiff filed the
FAC on April 14, 2026, alleging 12 causes of action and adding as defendants
Greenwich Street Holdco Trust, LLC, Tribeca Hotel Equity, LP, Kevin Wright,
James R. Parks, Echo Liang, Richard Zhao, and Can-Achieve:

1. Breach of fiduciary Duties
2. Fraud – Intentional Misrepresentation
3. Fraud – Negligent Misrepresentation
4. Fraudulent Concealment
5. Promise without Intention to Perform
6. Accounting
7. Negligence
8. Declaratory Relief
9. Business & Professions Code § 17200
10. Business & Professions Code § 17500

11. Securities Violations

12. Aiding and Abetting

This court on April 29, 2026, granted Defendants AIIC Group 13 Lender and AIIC Group 13 Manager, LLC motion to compel arbitration.

Plaintiff filed the present motion for leave to file second amended complaint on May 5, 2025.

Defendants AIIC Group 13 Lender and AIIC Group 13 Manager, LLC filed an opposition on July 23, 2026.

Plaintiff filed a reply on July 27, 2026.

Analysis:

I.
MOTION FOR LEAVE TO
AMEND

Code Civ. Proc.
section 473 subd. (a)(1) states that:

The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code.

“The trial court has discretion to permit or deny the amendment of the complaint, but instances

justifying the court's denial of leave to amend are rare." (Armenta ex rel. City of Burbank v. Mueller Co. (2006) 142 Cal.App.4th 636, 642.)

"Although courts are bound to apply a policy of great liberality in permitting amendments to the complaint at any stage of the proceedings, up to and including trial [Citations], this policy should be applied only '[w]here no prejudice is shown to the adverse party . . . ' [Citation.] A different result is indicated '[w]here inexcusable delay and probable prejudice to the opposing party' is shown. [Citation.]" (Magpali v. Farmers Group, Inc. (1996) 48 Cal.App.4th 471, 487.)

Pursuant to California Rule of Court Rule 3.1324, "[a] motion to amend a pleading before trial must: (1) Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located."

Plaintiff Tze On Fung ("Plaintiff") seeks leave to file a second amended complaint adding no new causes of action or defendants, but merely to add allegations concerning the relationship of defendants added to this case in the First Amended Complaint while Defendants AIIC Group 13 Lender and AIIC Group 13 Manager, LLC (collectively "AIIC Defendants") motion to compel arbitration, now granted was pending.

When Plaintiff opposed AIIC Defendants' motion to compel arbitration, arguing that he had filed an FAC including new defendants who had not signed the arbitration agreement and seeking discretionary relief under Code of Civil Procedure § 1281.2, subd. (c), the court ruled as follows:

Plaintiff's belated inclusion of new defendants does not warrant discretionary denial of the present motion. Plaintiffs introduce the new defendants expressly to defeat arbitration (FAC ¶¶ 12–13; Opposition at p. 2 ["In response to the motion to compel arbitration, plaintiff has contemplated and evaluated the issues at hand

and amended the complaint, adding other defendants who do not have any arbitration agreement with the plaintiff.”.) The FAC’s allegations against these defendants do not articulate any theory by which they partake of the liability alleged against the moving defendants, and the allegations are so threadbare as to justify a conclusion that Plaintiff avoids pleading facts that would warrant these parties’ enforcing the arbitration agreement for themselves. (See, e.g., *Ronay Family Limited Partnership v. Tweed* (2013) 216 Cal.App.4th 830, 838 [“[A]n agent may enforce an arbitration agreement to which its principal is a party.”]; *Molecular Analytical Systems v. CIPHERGEN Biosystems, Inc.* (2010) 186 Cal.App.4th 696, 709 [“When a nonsignatory has the right to enforce an arbitration agreement based on application of the equitable estoppel doctrine, section 1281.2(c) does not come into play.”].) Plaintiff ought not to benefit from the discretionary relief of Code of Civil Procedure § 1281.2, subd. (c), permitting denial of arbitration when interrelated claims are being litigated against non-signatories in court, when Plaintiff’s nonsignatory claims are pleaded so evasively that the court can determine neither whether the claims are interrelated, nor whether the claims against the nonsignatories are themselves arbitrable.

(4/29/2026 Order.)

In its order, the court stated that “[a]rbitration applies only to moving parties,” i.e. AIIC Defendants. (*Ibid.*)

Plaintiff seeks to

add allegations that Defendants Kevin Wright and James R. Parks are officers of AIIC defendants, that Defendants Echo Liang and Richard Zhao are agents of Defendant Can-Achieve. (Ho Decl. ¶ 2.)

AIIC Defendants

argue that the proposed amendment is an attempt to delay arbitration as ordered by the court, as Plaintiff has not sought to commence arbitration in the intervening time and has not made any attempt to serve the defendants added in the FAC. (Opposition at pp. 2–3.)

Leave to amend is

properly granted here. The amendments pertain not to any party for which arbitration has been ordered, but only to those Defendants added in the FAC who are expressly not bound by the April 29, 2026 order. The proposed amendments merely add allegations respecting the parties’ relationships to one another. Nor is there any reason to believe that Plaintiff by this belated amendment seeks

reconsideration of the court's arbitration order, as Plaintiff in reply states that he "respect[s] and accept[s] the court's ruling." (Reply at p.

ruling." (Reply at

p. 2.) The proposed amendments appear to bear only on whether the remaining defendants, as yet not served, may enforce the arbitration agreement for themselves. This matter has not been adjudicated.

Accordingly, the motion is GRANTED. The second amended complaint shall be filed within 5 days of this order.

Superior Court of California

County of Los Angeles

Department 61

TZE ON FUNG,

Plaintiff,

v.

AIIC

GROUP 13 LENDER, LP, et al.,

Defendants.

Case No.:

25STCV38279

Hearing Date: August 5, 2026

[TENTATIVE] RULING RE:

Plaintiff Tze On Fung's Motion for Leave to File Second Amended Complaint

Plaintiff

Tze On Fung's Motion for Leave to File Second Amended Complaint is GRANTED. The second amended complaint shall be filed within 5 days of this order.

Defendants to provide notice.

Dated: August 5, 2026

Hon.

Richard S. Kemalyan

Judge

of the Superior Court